



**GREEN
CLIMATE
FUND**

Readiness and Preparatory Support

Financial Management Capacity Assessment

Name of organization

Type here

What is the purpose of this document?

The purpose of this questionnaire is to assess the financial project/programme management capacity of entities and agencies¹ that will implement the readiness activities as identified in the Readiness and Preparatory Support Proposal (Section 1). The GCF will use the contents of the questionnaire to conduct an assessment of the entity's and agency's capacity to effectively manage the finances of the readiness project.

The questionnaire requests specific information regarding the capacity of implementing entities and agencies and their financial management systems, procedures, and policies. It covers elements of the following: legal framework and status; organizational structure; financial management; procurement; anti-money laundering and counter terrorist financing due diligence and project management. A short description is provided under each section heading.

How to complete this document?

This document should be completed by the entity or agency that will implement the Readiness and Preparatory Support programmes and activities.

Please be concise. If you need to include any additional information, please attach it. A supporting documents checklist is provided on the last page. While filling-in the responses to this Self-Assessment, please reference supporting documents in each section. For large supporting documents please reference the appropriate sections/chapters of the documents (including chapter/section, where relevant).

How to get support in completing and submitting this document?

If you are not sure how to complete this questionnaire, or require support, please send an e-mail to the relevant GCF Regional Desk. Please refer to the [Country Profiles page of the GCF website](#) to identify the relevant GCF focal points for the country in question.

¹ Countries wishing to access readiness funding directly must designate an "agency"—this may be the country's National Designated Authority (NDA) or another government-designated entity eligible to receive direct readiness funding from the GCF and enter into a grant agreement with the GCF Secretariat (see the Guide for Countries to Access Readiness Support). The designated agency must provide formal confirmation to the GCF Secretariat of its designation and the eligibility, prior to completing the FMCA questionnaire.

Please consult with your GCF focal point before submitting the completed assessment form and supporting documents to fmca@gcfund.org.

Please attach the completed FMCA document to the email and include a link where the supporting documentation may be downloaded by GCF (i.e., Dropbox, Google Drive, etc.). Due to the large size of many supporting files, GCF email accounts may not accept messages with attachments over 10MB.

The analysis of FMCA documentation will be completed following a five-week review period for regular FMCA and three weeks for fast-track assessment, which commences upon confirmation by GCF of a complete submission.

Fast Track Assessment:

Entities and agencies are not required to complete this questionnaire if they are accredited by the GCF (see <https://www.greenclimate.fund/accreditation>).

Entities and agencies may qualify for a fast-track process if they are accredited by other multilateral funds (e.g., the Adaptation Fund, Global Environment Facility, or EU Development Cooperation) or have undergone any of the assessments listed below, provided these assessments are not older than three years from the date of FMCA application submission:

- a. UN Harmonized Approach to Cash Transfers (HACT)
- b. Bilateral development agencies (e.g., USAID, JICA, DFID, GIZ, ADA, Global Fund)
- c. Multilateral development financial institutions (e.g., WB, IDB, ADB, EBRD, IFC, AfDB, IsDB, EIB)

Step by Step process for Fast Track Assessment:

Step 1: Submission of external Capacity Assessment Report

- Action by Country Designated Agency:
 - The Country Designated Agency suitable for the fast-track assessment must share the external capacity assessment report with GCF
 - Additionally, they must complete and submit the FMCA questionnaire (only Section 3.9, 4.3 and Annex 1)

Step 2: Review by GCF or GCF Fund Agent

- Action by GCF or GCF Fund Agent:
 - Review the external capacity assessment report submitted by the Country Designated Agency.
 - Assess whether the external capacity assessment aligns with the GCF FMCA standards
 - If the external capacity assessment is consistent with GCF FMCA standards, the fund agent will start the formal review process.

Step 3: Gap Identification and Follow-up

- If any gaps or inconsistencies are identified between the external assessment and GCF FMCA standards in Step 2, GCF will inform the Country Designated Agency.

Step 4: Request for additional information (action by Country Designated Agency)

- If requested by GCF, the Country Designated Agency must provide additional information or clarification to address the identified gaps.

Step 5: Final Review and Acceptance

- Upon receiving additional information, GCF or its fund agent will conduct a final review.
- The final assessment result will be communicated to the Country Designated Agency by the GCF Secretariat.

General and Contact Information

Full legal name of the Organization, size and location

Full legal name of the organization	
Country of incorporation	
Date of incorporation / establishment	
Number of head count / staff count	
Amount of organization assets (as per latest balance sheet when applicable)	
Location(s) of local / regional / international offices	

Registration Number, Articles of Incorporation, Statutory Order, Ministerial Decree

Type here

Regulatory Authority

This may vary depending on the type of Applicant: e.g., Ministry, and/or Department for of National Government, Trustee, Board inter alia)

Full registered address (and if different, Address of Principal Place of Business)

Type here

Contact person / official designation and their contact details (e.g., telephone, email, mailing address, fax, website, etc.)

The listed official shall be the official contact person for the duration of the Application. Please also note secondary official.

Principal activities

Please explain Principal activities of your organization, and linkages to Environmental, Social and Governance

Pillar 1. Legal Framework

This section outlines details on the organization's legal framework and status, and should be substantiated by the organization's founding legal document, such as a constitution, charter, memorandum of incorporation, etc.

1.1 Please provide a description of the legal status of the organization (e.g., government ministry / department, limited liability company, etc.)

In case of a government ministry/department:

- i. Does it possess individual legal personality and is it a separate legal entity from the government and does the ministry have the mandate and authority to apply for international financing and enter into financing agreements and/or directly receive financing to implement readiness activities in its own name and on its own behalf or does it act on behalf of the government or does it require prior approval of its Ministry of Finance prior to the receipt of funds?
- ii. Can the ministry/department receive international funds and act in its own name and on its own behalf; please specify which other institutions have provided international financing to the ministry/department.

In case of NGO / INGO / Company:

- i. Does your organization have the appropriate registration with the respective department of the government?
- ii. Is the NGO / INGO / Company authorized to receive funds from National / International Donors directly, or are funds required to be received by the government?

1.2 Does the organization have the necessary registrations and mandates to undertake the planned activities? Please describe and include relevant documents.

Type here

Pillar 2. Structure and Culture

This section covers the organization's institutional/corporate structure and provides an outline of its composition, as well as the measures to ensure sound management of human and financial resources.

2.1 Describe the scope of operations of the organization, including geographical scope, activities scope, and financial scale of donor-funded projects annually.

Type here

2.2 Provide an organizational chart, including clearly defined roles and responsibilities for management, auditors, governance bodies, administrative functions (e.g., Finance, Procurement).

Please elaborate on the hierarchy, reporting lines and distinction between operations between the key units/divisions/departments.

2.3 In cases not covered by a procurement process, does your organization have a policy to remunerate other personnel who are not staff? Please provide details on the hiring/contract modality (e.g., procurement or Human Resources) and on pay scale. Include the policy supporting documents or refer to relevant documents if already covered in section 4 Procurement.

Type here

2.4 If the organization is a non-government entity, does the organization have an ownership chart with beneficiary owners and their ownership interest? (if yes, please include overall ownership structure chart, including percentage of state ownership if more than 25% shares)

Type here

2.5 Does the organization have in place a documented code of ethics or a set of formal management policies/provisions that define ethical standards to be upheld, by employees and those contracted or functionally related to the organization.

Type here

Pillar 3. Financial Management

This section contains information regarding accounting and internal control systems. It requests important details and documentation that are necessary to assess the organization's ability to safeguard financial resources and ensure its systems and policies are designed to prevent, or minimize, the risk of corruption and fraud.

3.1 Accounting standards followed by the organization (e.g., GAAP, IFRS, IAAS, IPSAS)

Please elaborate how any of these or other standards are fitted-in and/or customized for the organization. If adhering to National Guidelines, please elaborate upon this, and provide as part of the Document Checklist.

3.2 Describe the organization's accounting financial management system including the internal control framework (with reference to the relevant document/s such as 'Accounting Policy', 'Financial Management Manual' / 'SOP', refer to Supporting Doc Checklist Item Nos. 9 & 10).

If there is no 'Internal Audit' department/unit in the organization, please provide information concerning the relevant policy document as to how the internal control oversight is managed within the organization?

3.3 Provide details on the accounting software used by the organization²

Please elaborate on the Accounting Software: name, manufacturer, essential features (modules) restriction rights, how it has been adapted, customized / fitted-for your organization, and how it functions concerning your organization's accounting system vis-à-vis financial management.

3.4 Specify the position of the controller (or person responsible for financial management and financial oversight) within the organization. How the 'segregation of duties' is designed/ensured within the financial management and financial oversight in the organization?

Type here

3.5 Describe the composition of key staff in the area of financial management (i.e., number, qualifications, roles, and responsibilities) or provide evidence that key staff have the necessary knowledge, skills, and experience.

² For example, allow for comparison among reporting periods, track record in the preparation of financial statements, budgets, monitor expenditures against budgets.

Please provide CVs or brief credentials of the key staff/personnel that will be involved with the GCF Readiness project.

3.6 Provide a description of the internal audit function and a schedule of the audits performed in the last 2 years. If internal auditing is outsourced, provide the name of the firm and describe how the arrangement works. If internal audit is conducted internally, describe the qualifications and experience of key staff. Include / provide copies of last 2 (two) years Internal Audit reports.

Please mention the Major Findings / Recommendations of the Internal Audits, and whether there are any flagged issue(s). If there are Major Findings and/or recommendation, how has your organization addressed these? What mitigation measures have been implemented to address the Findings and Recommendations of the Internal Audit?

3.7 Name of the organization responsible for external auditing and specify how the audit recommendations are followed up, if applicable

Please Include / provide copies of last two (2) years' of External Audit Reports, including Certified Financial Statements (please provide the Auditor's 'Management Letter' along with the 'External Audit Report' that contains audit results (findings and recommendations) and the FS should include the 'Notes to the Financial Statements').

Please mention the Major Findings / Recommendations of the External Audits, and whether there are any flagged issue(s).

If there are Major Findings and/or recommendation, how has your organization addressed these? What mitigation measures have been implemented to address the Findings and Recommendations of the External Audit?

3.8 Describe how the organization ensures that resources are only spent for their stated and agreed purposes (e.g., using a separate bank account for the readiness Grant Agreement, procedures for overseeing and verifying the use of proceeds, etc.)

Type here

3.9 Describe how the organization ensures zero tolerance for fraud, financial mismanagement, and other forms of prohibited practices by staff members, consultants, contractors, etc. Please include relevant policies, procedures and/or administrative provisions and internal control mechanisms if applicable. Describe how the organization handles occurrences of non-compliance if they occur.

Please elaborate on your organization's policies, procedures and/or administrative provisions indicative of its commitment to maintaining the highest levels of integrity/accountability and to preventing, investigating and remedying any Prohibited Practices in the implementation of funded projects.\. If your organization does not have its own policies, but rather follows National Government, and/or Donor Guidelines (e.g., International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) please provide the relevant information and reference in the Document Checklist.

Pillar 4. Procurement

This section gives an assessment of how procurement is handled by the organization and the overall approach employed in the selection of consultants and the acquisition of goods and services. This is important to ensure procurement is conducted in a manner that optimizes value for money and protects the interests of both the organization and the supplier.

4.1 Describe the procurement policies and procedures including procurement methods for selection of consultants and procurement of goods and services.

Type here

4.2 Levels of endorsing and approving authority. Please specify:

- i. Procurement guidelines or standards, procurement methods and applicable thresholds, including composition and role of procurement committee.
- ii. Procedures for overseeing the procurement function
- iii. Please mention whether there are 'segregation of duties' in the processes of 'approval' and 'payments'. Or, how the 'segregation of duties' is ensured?

Please provide a summary table of the Types of Procurement (Solicitation Methods) as well as accompanying Financial Thresholds.

4.3 Policy on Conflict of Interests (COI)

Within this Section, please elaborate on your organization's policy, or equivalent administrative provisions to this effect, that establishes mandatory disclosure of conflicts of interest and principles or procedures for mitigating or correcting disclosed conflicts.

4.4 Ineligibility criteria or favorability criteria for vendor selection

Type here

4.5 Criteria used to evaluate goods and service providers

Type here

Pillar 5. Project Management

This section details how the organization manages its projects and project-related operations. It covers the overall management process including monitoring and evaluating performance.

5.1 Describe the parts/units of the organization that will be directly involved in the GCF-related activity. Specify number of staff and the division(s) involved. Please provide CVs or brief credentials of the key staff/personnel.

Type here

5.2 Does the organization have policies and procedures to manage projects that are implemented directly by the organization or indirectly through sub-recipients?

Please describe, or include relevant documents, or refer to the relevant documents if already covered in Section-4 for Procurement.

5.3 Provide a list of recent projects/programmes in the past 5 years that received funding from multilateral development banks and bilateral donors³ (for a maximum of 3 projects, preferably the large projects in term of value / project cost and climate resilience related, if any).

Project Name	Country of Implementation	Funding Source ⁴	Project Value ⁵	Dates of Performance	Project Outcomes / Results ⁶
Type title here				Click to enter a date	
Type title here				Click to enter a date	
Type title here				Click to enter a date	

³ Include areas to list project description/title, country/region of implementation, amounts of income/expenditure, and duration (years or months), purpose and the role your organisation in the project, actual vs planned results/outcomes.

⁴ Please indicate the Donor / Funding Source

⁵ Please also indicate the currency of the signed project within the Project Value section.

⁶ If the Project is "ongoing" please indicate the intended outcomes and/or impact of the project. For this section, please provide an overview of the project: either as a narrative, and/or in bullet points

5.4 Briefly describe the organization's 'monitoring and evaluation' system and processes of project targets, milestones and achieved results. Briefly describe corrective actions implemented in cases where objectives were not fully achieved as originally forecasted.

Type here

5.5 Describe the organization's processes and procedures to ensure the early identification of risk and to take remedial action⁷

If the Organization has a Risk Management Policy, Guidance Document and/or SOP, kindly elaborate, and reference with the Document Checklist.

If your organization does not have a specific Risk Management Policy/SOP, then please provide information on your organization's Risk Management approach: including Risk Identification, categorization, and mitigation.

⁷ For example, system in place to ensure speedy solutions to problems which may interfere with the achievement of the project objectives or lead to unintended negative consequences, examples of project problems identified and addressed to demonstrate effectiveness of the system.

Guide to the Critical Document Checklist

- a) If your Organization does not have a particular Manual, Policy, Guideline, SOP of its own but rather follows the Policies/Regulations, Guidelines of the Government and/or any other Organization's (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc), then those governing documents should be provided and duly referenced in the Self-Assessment.
- b) External Audit Reports and Auditor's Management Letter of the Government Department(s) may include, Statutory Audit Reports, while that of the (I)NGOs, and Companies by Audit Firms.
- c) All Critical Documents provided for FMCA review(s) are strictly maintained as "Confidential" by UNOPS and GCF, and are exclusively used for FMCA reviews. These are not shared, discussed, or revealed, in part and/or in full, to any other entity whatsoever. If applicants have specific questions concerning the FMCA process and/or, questions on confidentiality, required documentation, please send an email to fmca@gcfund.org (with reference to your application and the nominated focal point).
- d) Omission and/or inability to share critical documents will have a direct impact on the FMCA review.

Please focus on providing the requested documents. Within the Document Name / File Name column, please input the name of the policy/procedure/manual. For the Attachment column, please ensure to number the documents when they are attached as part of the application and indicate the Attachment Number for each document. If for any Item, that the DP provides multiple numbers of documents, the documents should be sub-numbered as pre the following: 1.1, 1.2; 1.3, 2.1, 2.2, 2.3 etc.

FMCA Supporting Document Checklist

Please refer to the above-mentioned guiding notes (a-d, and the last point) for critical documents.

Pillar-1: Organization and Legal Framework			
#	Type of Supporting Documents	Doc/File Name	Attachment No
1	Legal registration of the entity and/or founding legal document, Charter etc. This may be a statutory/government Order/Memo, or any Founding/Creation document issued by the competent authority.		
2	Constitution / Articles of Incorporation of the Organization / Entity		
3	Latest Annual Report(s) of the Organization / Entity		
Pillar-2: Structure and Culture, including considerations on Code of Conduct and Ethics			
#	Type of Supporting Documents	Doc/File Name	Attachment #
4	Organizational Structure/Chart, Organogram; Governance, etc. Please provide a brief elaboration on the hierarchy; reporting lines between key units/divisions/departments		
5	Management Structure - Identifying and elaborating on key Units/Departments, including Internal Audit Function. - Roles and responsibilities of key unit staff (Unit/Department Heads, Finance, DOA holders, inter alia.)		
6	Operations and/or Administrative Manual (including Financial roles/functions) Policies, Procedures, SOPs If the Applicant follows Governments' and/or any other Organization's (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) regulations / policies in lieu of its own FMM/SOP, then those governing documents should be provided/referred.		
7	HR Policies, Procedures, Manual, SOP etc. If the Applicant follows Governments' and/or any other Organization's (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) regulations / policies in lieu of its own FMM/SOP, then those governing documents should be provided/referred.		
8	Code of Conduct or the Organization & Ethical Standards for Staff/Personnel Please reference relevant Sections for review		
Pillar-3: Financial Management, including Management of Risk			
#	Type of Supporting Documents	Doc/File Name	Attachment No
9	Financial Management Manual, Accounting Policies & Guidelines, SOP etc.	Type here	Type here

10	Main Accounting policies of the Entity; and Accounting Software used/adopted. - This should be elaborated upon in Section 3.1 & 3.2 of the Self-Assessment - If the Applicant follows Governments' and/or any other Organizations' (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) regulations / policies in lieu of its own FMM/SOP, then those governing documents should be provided/referred.		
11	Internal Control Framework (ICF), including procedures against Fraud & Corruption. If there is no specific Policy/SOP related to ICF, then please provide other relevant documents re: internal control of the Organization		
12	Internal Audit Reports (past two years) If there is no 'Internal Audit' department/unit, please provide any other relevant document (if have any) as to how the internal control oversight is done		
13	Annual Financial Statements or Certified Financial Statements of the past two years (including Notes to Finance by the Auditor) - All applicants are required to submit Statutory or External Audit Reports; donor funded project audit reports are welcomed in addition to external audit reports. - Balance sheet statement - Profit and loss statement - Cash flow statements		
14	External Audit Reports (past two years) conducted by Government / Statutory Department and the Auditor's Management Letter		
15	Fiduciary assessment report(s) Please reference major findings and recommendations sections		
Pillar-4: Procurement Policies and Procedures			
#	Type of Supporting Documents	Doc/File Name	Attachment No
16	Procurement Manual, Policies and Procedure, SOP etc. If the Applicant follows Governments' and/or any other Organization's (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) regulations / policies in lieu of its own FMM/SOP, then those governing documents should be provided/referred.		
17	Delegation of Authority / Financial Thresholds Please ensure to include this in Section 4.2 of the Self-Assessment		
18	Conflict of Interests (COI) Policy		

	Procurement process and related areas		
Pillar-5: Programme / Project Management			
#	Type of Supporting Documents	Doc/File Name	Attachment No
19	Program / Project Management Manual, Policies, Procedures, SOP, etc. If the Applicant follows Governments' and/or any other Organization's (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) regulations / policies in lieu of its own FMM/SOP, then those governing documents should be provided/referred.		
20	Monitoring and Evaluation Policies, Procedures, and Guidelines If the Applicant follows Governments' and/or any other Organization's (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) regulations / policies in lieu of its own FMM/SOP, then those governing documents should be provided/referred.		
21	Track record of the past and/or ongoing project(s) the Organization implemented including Results/Outcomes. Non-exhaustive list of projects, rather, please present relevant/recent projects within the past 5years		
22	Risk Assessment and Risk Management Policies of the Organization (if any) If the Applicant follows Governments' and/or any other Organization's (International and bilateral development assistance agencies such as UN/UNDP, FAO, UNIDO, UNEP, IFAD etc and USAID, JICA, DFID, GIZ, ADA respectively, and MDBs/development financial institutions such as WB, IDB, ADB, EBRD, AfDB, IsDB, EIB, AFD etc) regulations / policies in lieu of its own FMM/SOP, then those governing documents should be provided/referred.		
23	CVs of key Finance and Project staff CVs should be provided for personnel that are to be involved/associated with projects with GCF Funding		
24	Relevant Institutional publications, communications, reports, and references; and official website of DP Relevant project reports, accommodations, project publications, as well as official website, inter alia.		

Annex 1: AML/CFT Questionnaire

General Anti-Money Laundering (AML) and Combating Finance of Terrorism (CFT) Policies, Practices and Procedures		
1. Does the organization have a designated officer responsible for AML/CFT-related safeguarding?	Yes ☐	No ☐
2. Does the organization have capacity, internal systems and controls to:		
i. Conduct AML/CFT risk assessment as well as to monitor and mitigate identified risks in grant activities following a risk-based approach?	Yes ☐	No ☐
ii. Conduct related due diligence (including screening against United Nations Security Council financial sanctions) concerning potential or existing counterparties with which it engages including, executing entities, implementing entities, or any other entity or person involved in the grant implementation?	Yes ☐	No ☐
iii. Maintain and retain relevant records?	Yes ☐	No ☐
iv. Provide training and advisory on AML/CFT and related matters?	Yes ☐	No ☐